



pear but it was transformed in a variety of ways, some subtle and others less so. To be sure, when the great famines of the late 19th century ravaged western and southern India, some acts of generous giving were noted. The celebrated bird and animal hospitals of Jains in western India did not disappear. But philanthropy was initially not taken very seriously by those who made great fortunes on the back of the colonial trades, whether opium export to China or jute-making in Kolkata. Trading communities looked after their own up to a point, with richer traders bankrolling their poorer cousins. By the time of the Five-Year Plans of the 1950s, it was the state that was looked up to as the ultimate *mai-baap*, giver and arbiter of redistribution.

This dependence on the state to nourish the people, to create human capital, to ensure social change and development, was a very convenient alibi for some. The Tatas and the Birlas built the odd educational institution, for engineers, physicists and the like such as Birla Institute of Technology and Science (BITS) or Tata Institute of Fundamental Research (TIFR), but few others followed the suit. Socialism may have been a nice buzzword in the '50s and '60s, but beneath its surface, it was a dog-eat-dog world. If one did not inherit wealth, it was all a question really of who could get access to the state and its mechanisms for redistribution, rent-seeking and social climbing. So, some social change did happen, and some new groups emerged to the fore. A handful of robber barons also made great fortunes by dint of their strategic dealings with this or that party and leader. It was a far-from-ideal world, but one where the state was meant to keep a lid on things when social tensions came to the boil by a mix of populism, coercion and handouts.

Many Indians today, especially among the middle class and elite, want to repudiate that past and its licence-permit-quota raj. One can see why. But it may also be useful to see what the alternative, which has been touted for a decade-and-a-half as something called liberalisation, really means. Fundamentally, what liberalisation as a process entails is the reduction of the role of the government in economic and social terms. In the specific case of India, it also seems to imply a gradual process of

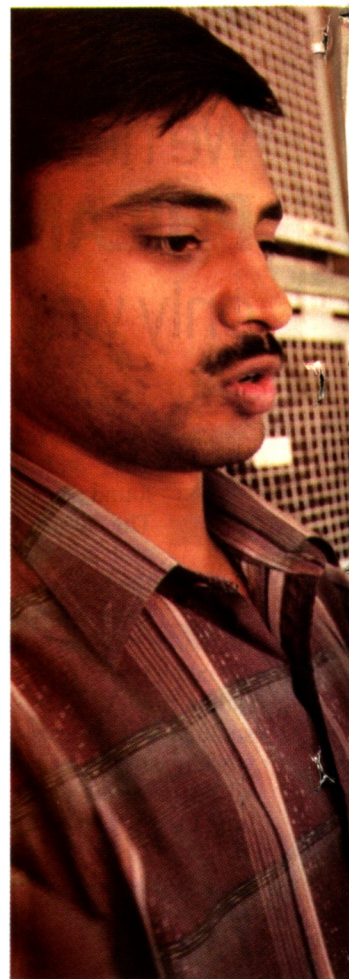
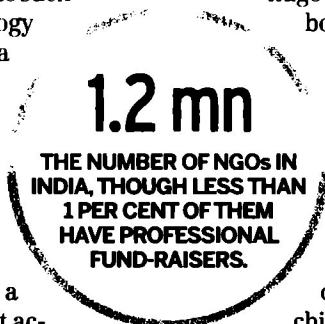
decentralisation, as decision-making moves from the Centre to the states on a number of key issues. So, let us say one wanted to grow orchids for export in 1965. I imagine one would have to deal with at least three different Central ministries—the customs, Air India and its bureaucracy, and a host of other obstacles. Today, it may be far easier to pull off such deals, though one still hears periodic horror stories from entrepreneurs. That is all very well for businesses, but what of other tasks the state undertook, and which do not bring with them ready short-term profits as rewards for risk-taking? These include the provision of a whole host of public goods, and I want to single out one example: education.

Some parts of education are well-paying, as anyone who has visited the great public school chains in the metropolitan cities knows. Even teaching shops and cramped spaces where students cram desperately for the IIT-JEE have been doing a roaring business for some decades now. But that is not true for a

huge swathe of education across the board, from the primary to the highest level. The market, left to its own, will not educate many of those who do not have the ability to pay and pay amply.

This is where only two alternatives exist: the state or philanthropy. This is undoubtedly true for the primary education of a poor farmer's five-year-old child in Belgaum, but the logic of this runs all the way up and down the system. One can see how engineering schools, medical schools and management institutes can work in a free market. The same is true for the production of software programmers and others who serve global industries of various sorts. But what about the social sciences, the arts, the humanities? Why would the market want a social anthropologist or a poet? Should we then imagine an India with crores of software writers and not a single great sarod player or political theorist?

It is usually imagined that for the reproduction of artists, musicians and the like, we can somehow depend on traditional family-based institutions to do the job. This may be true to an extent of music, but is it true of the visual arts? Is it true of literature? Will our chief research institutions in sociology, politics and cinema studies survive eternally on handouts from the Ford and Rockefeller



Caring touch: The celebrated bird and animal hospitals of the Jains in western India have not disappeared yet